

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

10 U.S.C. § 3204

Pursuant to the requirements of the Competition in Contracting Act (CICA), as implemented by the Federal Acquisition Regulation (FAR) Part 6 and FAR Class Deviation (Number 25-11) for FAR Part 6 in Support of Executive Order 14275 on Restoring Common Sense to Federal Procurement, this document is a justification for other than full and open competition prepared by the U.S. Coast Guard. In accordance with the requirements of FAR 6.104 (FAR Class Deviation 25-11), other than full and open competition is justified by the following facts and rationale.

1. Agency and Contracting Activity.

The Department of Homeland Security, United States Coast Guard (USCG) SEA-C, Surface Forces Logistics Center (SFLC), Long Range Enforcer (LRE) Product Line (PL) proposes to enter into a sole-source contract on a basis other than full and open competition.

2. Nature and/or Description of the Action being Approved.

(a) Nature of the action: USCG intends to procure on a sole source basis, supply components for the TRS-3D/16-ES (AN/SPS-7) Radar Systems used on the 418” Legend-class National Security Cutters (WMSL). The TRS-3D is a modular multi-mode naval radar system, and the AN/SPS-75 is the U.S. designation for a specific variant, the TRS 3-D often referred to as the AN/SPS-75 Baseline D (AN/SPS-75).

The parts are manufactured exclusively by Hensoldt Sensors GmbH, which has confirmed that it does not sell these components directly to the U.S. Government. Instead, all sales to the U.S. Government, excluding new system procurements (e.g., complete TRS- 3D/16-ES (AN/SPS-75) systems), are conducted solely through Northern Defense Industries, LLC (NDI).

NDI is the sole authorized distributor of Hensoldt Sensors GmbH, the Original Equipment Manufacturer (OEM) for the AN/SPS-75 Radar System. Hensoldt retains proprietary ownership of the technical data, drawings, and specifications required to manufacture these components. All sustainment-related sales to the U.S. government are conducted exclusively through NDI.

(b) Name and address of the contractor:

NDI Authorized Distributor
649 S Washington Street
Alexandria, VA 22314-4109

(c) Type of action: Firm-Fixed Price (FFP)

(d)

Estimated total value (including ordering periods): See the table below

Ordering Period 1	3/15/2026 – 3/14/2027
Ordering period 2	3/15/2027 – 3/14/2028
Ordering period 3	3/15/2028 – 3/14/2029
Ordering period 4	3/15/2029 – 3/14/2030
Ordering period 5	3/15/2030 – 3/14/2031

(e) Type of funding:

(f) Year of funding: Current fiscal year when order is placed.

(g) Solicitation number: 70Z08526RRJ002B00

(h) Background information about the requirement: The previous contract for parts for the AN/SPS-75 Radar System (Contract No. 70Z08524P30075B00) was awarded to NDI and expired on September 30, 2025. Currently, there is a gap in services.

3. Description of Supplies/Services.

This acquisition is for the procurement of OEM repair components (supply) for the AN/SPS-75 Air Search Radar System. These components are essential to restore the radar system to fully mission-capable status, ensuring its operational readiness and reliability for critical air search and detection functions. Enclosure 1 to this document identifies the specific parts, including their part numbers and National Stock Numbers (NSNs), to be procured under this requirement.

4. **Identification of Statutory Authority Permitting Other Than Full and Open Competition.** The statutory authority permitting other than full and open competition is 10 U.S.C. § 3204(a)(1) as implemented by FAR Subpart 6.302-1 “Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency requirements”
5. **Identification of Exception to the Buy American Act.** The Buy American Act applies but there is a class exception in accordance with FAR 25.103(b)(1) and 25.104(a)(30).
6. **Demonstration that the Proposed Contractor’s Unique Qualifications or the Nature of the Acquisition Require Use of the Authority Cited.** The proprietary nature of the AN/SPS-75 Air Search Radar System and the unique qualifications of NDI necessitate the use of authority under 10 U.S.C. § 3204(a)(1). NDI is the sole authorized distributor of Hensoldt Sensors GmbH, the OEM. Non-OEM parts cannot meet the required specifications due to proprietary restrictions, posing risks to reliability, safety, costs, and mission

readiness. The Coast Guard's SFLC inventory is stocked with components tailored to the AN/SPS-75 system, ensuring fleet standardization and operational consistency.

(a) Rationale for using the authority cited in section 4 of the J&A: It is not possible for the USCG to verify the compatibility of non-OEM parts due to a lack of access to proprietary data and the internal capability to evaluate alternatives. Due to the proprietary nature of this requirement a sole source acquisition to NDI is necessary in accordance with FAR 6.302.

(b) Details covering what events lead to the situation requiring use of other than full and open competition procedures including whether any portion of the work can be segregated to allow for competition: Having technical data is critical for the system. The USCG does not possess this proprietary information, making it impossible to evaluate or confirm the compatibility of non-OEM parts due to the lack of access to the required data and internal capabilities.

Using non-OEM parts would necessitate testing, reverse engineering, and infrastructure modifications, which would result in excessive costs, delays, and operational risks. Consequently, the use of other than full and open competition procedures is essential to maintain mission-critical operations and fleet-wide standardization

(c) Summarize alternatives considered and why they will not work Procuring non-OEM parts may violate contractual or regulatory requirements for maintaining OEM specifications, potentially leading to legal disputes or penalties. (Regulatory requirements: FAR 46.105; FAR 25.1039b)(1)(i); 10 U.S.C.3204(A)(1); Contractual requirements: using non OEM could void warranties which may add additional financial risks and legal disputes; procuring non-OEM parts could lead to legal disputes over unauthorized use of proprietary information (intellectual Property Right); non OEM parts can violate fleet standardization, interoperability, and consistent performance across all assets.

(d) Impact to the mission that would result if the J&A is not approved and, consequently, the product or service not provided: If not approved, USCG will not be able to obtain the critical OEM parts radar system repairs. Therefore, leading to compromised system reliability, safety, and performance, leading to failures during critical operations. Further, functions, disrupting mission readiness and fleet standardization. Hensoldt Sensors GmbH, as the OEM, possesses unique technical expertise and proprietary knowledge essential for maintaining the radar system. Without their involvement, the Coast Guard may lose access to critical support and updates. Introducing non-OEM parts would undermine efforts to maintain consistency across the fleet, complicating logistics, training, and operational planning.

(e) Rationale for use of the nonavailability exception to the Buy American statute, including detailed information explaining why the particular articles, materials, or supplies of the class or kind to be acquired, either as end items or components, are not mined, produced, or manufactured in the United States in sufficient and reasonably available commercial quantities and of a satisfactory quality: The AN SPS-75 Air Search Radar System is manufactured exclusively by Hensoldt Sensors GmbH, a foreign company based in Germany, and requires

highly specialized spare and replacement parts produced using proprietary specifications, software codes, and manufacturing processes. These parts are not mined, produced, or manufactured in the United States in sufficient and reasonably available commercial quantities or of satisfactory quality due to the proprietary nature of the system. Domestic manufacturers lack access to the technical data, drawings, and intellectual property required to produce equivalent components, making it impossible for them to meet the stringent quality and compatibility standards necessary for this acquisition.

FAR Part 25.104(a)(30) recognizes spare and replacement parts for equipment of foreign manufacture as a class of items for which domestic parts are not available. This determination applies directly to the AN SPS-75 system, as it is foreign-manufactured and no domestic alternatives exist. Procuring non-OEM or domestically manufactured parts would introduce significant risks, including reduced reliability, safety concerns, and operational degradation.

Given the critical role of the AN SPS-75 radar system in supporting Coast Guard mission requirements, the use of OEM parts ensures the system remains fully mission-capable and meets performance standards for air search and detection functions.

Therefore, the nonavailability exception to the Buy American statute is fully justified under FAR Part 25.103(b)(1)(i).

- If using **“Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements”** as your authority, also include the following:
 - Details on the specific requirements (not what the equipment, process, or service is capable of doing): The components are essential for maintaining operational readiness, addressing casualties, and replenishing stock levels to minimize disruptions to mission-critical operations.
 - Information on why only one contractor is capable of fulfilling the requirements: NDI is the sole authorized distributor of Hensoldt Sensors GmbH, the OEM for the AN/SPS-75 Radar Systems. Hensoldt Sensors GmbH has proprietary ownership of all technical data, blueprints, and intellectual property related to these components. The OEM has explicitly stated that all sustainment-related sales to the U.S. government must be conducted exclusively through NDI. No other entity has access to the proprietary data or authorization to distribute these parts
 - Why other proposed contractors are unable to meet the requirements: NDI is the sole authorized distributor of Hensoldt Sensors GmbH, the OEM. Hensoldt retains exclusive ownership of all technical data and intellectual property related to these components, and all sustainment-related sales to the U.S. government must be conducted through NDI.
 - Unique capabilities or qualifications of the contractor that form the basis for the justification: NDI’s exclusive authorization by Hensoldt Sensors GmbH and extensive past performance history demonstrate its ability to reliably provide OEM components and services for the AN/SPS-75 Radar System.

- Information on why and description of the extent to which the Government will be harmed if the supply or service is not acquired from that vendor: Failure to procure OEM components from NDI would result in operational disruptions, increased costs, and extended downtime, severely impacting the Coast Guard's ability to maintain mission-critical capabilities.

7. Description of Efforts Made to Ensure that Offers are Solicited from as Many Potential Sources as is Practicable.

The APFS Record Number F2023064186 was published on October 21, 2025. No responses were received expressing interest or objections to acquiring from NDI.

Sources Sought Notice (SSN) ID 70Z08525SRJ004B00 was issued through the Contract Opportunities System on SAM.gov from April 17, 2025, to May 2, 2025. The notice invited interested vendors to provide responses to a detailed questionnaire and submit a company statement of work to demonstrate their capability to fulfill the requirement. This public posting ensured maximum visibility and accessibility for potential vendors.

Two responses were received to the SSN, one from NDI and one from BHPE LLC. The Government followed up with both respondents to request missing documentation and clarify their capabilities: NDI: Provided all requested documentation, including an affidavit confirming its status as the sole authorized distributor for Hensoldt Sensors GmbH components in the United States. BHPE LLC: Was contacted multiple times (May 20, 2025, and May 28, 2025) but failed to provide the required documentation. Additionally, the OEM confirmed that BHPE LLC is not an authorized distributor.

8. Determination by the Contracting Officer that the Anticipated Cost to the Government will be Fair and Reasonable. The Contracting Officer determines that the anticipated prices to be fair and reasonable based on prices analysis in accordance with FAR Subpart 15.404-1(b)

9. Description of Market Research.

(a) The government conducted market research from 22 May 2023 – 2 June 2025, using techniques such as posting a SSN, direct communication with the OEM, reviewing procurement databases, and analyzing historical pricing data. The research showed that NDI is the sole authorized distributor for the required components, and no other vendors are capable of fulfilling the requirement due to proprietary restrictions. Based on the results of the market research, the contracting officer determined that the requisite supplies are non-available as domestic end products. The items are manufactured exclusively by Hensoldt Sensors GmbH in Germany, and no domestic alternatives exist. Procuring non-OEM or domestically manufactured parts would introduce significant risks, including reduced reliability, safety concerns, and operational degradation.

(b) (Section is required to be completed when the J&A includes the exception listed

under FAR 25.103(b)(2) or FAR 25.202(a)(2)): N/A

(c) If market research was not conducted, state why: N/A

(d) If patents, copyrights, and/or intellectual property are applicable to the acquisition, describe the circumstances for acquiring a patented or copyrighted product on the representation of the intellectual property holder that has not been licensed for resale and consult with the Coast Guard IP attorney.

The AN/SPS-75 Radar System components are protected by proprietary intellectual property owned by Hensoldt Sensors GmbH. The OEM retains exclusive rights to the blueprints, technical data, and data rights required to manufacture the components. Proprietary data rights for the AN/SPS-75 Radar System are not available for sale or transfer. All sustainment-related sales to the U.S. government must be conducted exclusively through NDI, the sole authorized distributor in the United States.

10. Any Other Facts Supporting the Use of Other Than Full and Open Competition.

A formal request for data rights was sent to Hensoldt Sensors GmbH on May 20, 2025, to explore the possibility of enabling future competition. On June 2, 2025, the OEM responded that proprietary data rights for the AN/SPS-75 Radar System are not available for sale or transfer.

11. A Listing of the Sources, if Any, that Expressed, in Writing, an Interest in the Acquisition.

Northern Defense Industries, LLC.

649 S Washington ST
Alexandria, Virginia
22314-4109, United States
WEB URL: <https://amsgroup.net/business-units/ndi/>
Small Business

BHPE: Physical Address
10601 S Western AVE STE 113
Oklahoma City, Oklahoma
73170-6215, United States

12. A Statement of the Actions, if Any, the Agency May Take to Remove or Overcome Any Barriers to Competition Before Any Subsequent Acquisition for Supplies or Services Required. The government will also explore alternative radar systems that meet operational requirements and are commercially available to reduce reliance on sole-source procurements.

13. Contracting Officer's Certification.

I certify that the data supporting the recommended use of other than full and open competition is accurate and complete to the best of my knowledge and belief.

 Digitally signed by

Date